

POTENTIAL ACQUISITIONS

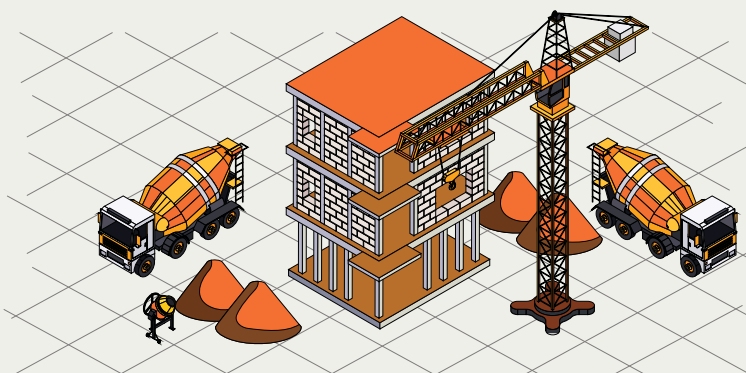
- Players with relatively smaller capacities are vulnerable
- Access to limestone and brand strength will determine valuations
- South India is likely to witness the highest M&A activity

IN THE LISTED SPACE	Capacity (mtpa)	EV/ EBITDA (x)	EV/ tonne (\$)
Shree Digvijay Cement	1.2	11	164
Deccan Cement	1.8	14	86
Saurashtra Cement	2.7	11	61
NCL Industries	3.4	6	46
Mangalam Cement	4.4	14	77
Heidelberg	6.3	15	89
Star Cement	7.7	15	134
Orient Cement	8.5	12	78
Sagar Cement	10.9	18	49
Nuvoco Vistas	25	10	81
Total	71.7		

NOTE DATA FOR FY24

IN THE UNLISTED SPACE	Capacity (mtpa)	Regions
Chettinad Cement	19.9	South
Zuari Industries	8.1	South
My Home Industries	6.8	South
Vadraj Cement	6.0	West
Bharthi Vicat	5.0	South/West
Total	45.8	

DATA AS OF JUNE 27, 2024 **SOURCE** EMKAY RESEARCH



become the most profitable cement manufacturer,” he had said.

What got Adani into the acquisition? Chandresh Ruparel, MD & India Head of Rothschild & Co, says scale is important for any cement player as it can drive distribution, pricing and working capital. “Scale can allow for marketing and brand spends. It needs to be appreciated that cement is practically a commodity with little to no differentiation in product specs and that a brand can lead to healthy distribution and pricing power,” he says. Like any other business, scale gives you control over pricing, a handy way to disrupt the market at any point.

Adani’s presence in ports, real estate,

71
PER CENT
CONTRIBUTION
OF TOP
10 PLAYERS TO
TOTAL INSTALLED
CAPACITY

SOURCE ICRA
RESEARCH

road construction, and power plants gives the cement business a ready-made customer base and access to railway rakes. The power business throws up fly ash, which is added to certain types of cement. The energy-intensive cement business also gets coal from Adani’s mines in Australia. Adani’s recent entry into renewable energy will help optimise costs.

Adani’s ports will help the logistics of the three cement companies it has bought: Sanghi Industries in 2023, My-Home Industries’s grinding unit in April 2024 and Penna Cement in June 2024.

Karan Adani, Director of Ambuja Cements (of which ACC is a subsidiary), while announcing the Sanghi deal (the